



PAGERO

Country Compliance Report: **Germany**

Information class: Restricted



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Report operational: 28 July 2023

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Germany, which will be used throughout the whole document.

Term	Explanation
Kosit	Coordination Office for IT Standards. In German, "Koordinierungsstelle für IT-Standards"
Public Procurement	Refers to the process by which public authorities, such as government departments or local authorities, purchase work, goods or services from companies
Validation of e-invoice	Is the process performed by the buyer or its service provider when receiving invoices Generally a control check for errors in format or other technical features are looked over. There may also be checks for viruses or other harmful code.
Centralized e-invoicing	Where trading parties are required to transmit eDocuments to a predetermine infrastructure normally owned or maintained by the state. The infrastructure acts as an exchange engine, conducting mandatory checks, before delivering the invoice to the target receiver. The transmission path may be regulated, and additional requirements on the format, I&A (such as eSignature) may be necessary
EN format	The European Norm describes the Core semantic data model for invoicing in Europe to Public administrations
XRechnung	Is a German specific digital format for e-invoicing, it is also exchangeable through the Peppol Network
De-Mail	Is a German E-Government communications service that makes it possible to exchange legal electronic documents between citizens, agencies, and businesses over the Internet.
Export Invoice	An export invoice an umbrella term that encompasses exporting forms like the Commercial Invoice and the Proforma Invoice - forms that indicate the buyer and seller of the goods, a description of the

	items, and can depict the purchased items' value, and the terms (or proposed terms) of the sale
Commercial invoice	The commercial invoice – is a type of export/import documentation signed between the seller (exporter) and the customer (importer). The commercial invoice contains the information about goods, their amount and value, and serves as a bill of sale between the seller and the buyer. It can be used as a Purchase invoice by the buyer, or as a sales invoice by the supplier.
Rectification document	A rectifying invoice is a document that details some corrections in the ordinary invoice or the return of the merchandise. This invoice must be issued in case the original invoice does not comply with the requirements established by the current law
ZRE	Central e-Invoice Submission Portal. In German "Zentrale Rechnungseingangsplattform"
OZG-RE	Online Access Act-compliant Invoice Submission Portal. In German "Onlinezugangsgesetz - konformen Rechnungseingangs-Plattform"
Leitweg ID	Germany has implemented a unified routing logic (Leitweg ID) which is a mandatory element in the Xrechnung format. More information found in section 10.2.2 below
Web Service	A Web service is a method of communication between two electronic devices over a network, generally Peppol
Validation of eSignature	Is the process of verifying and confirming that an electronic signature or a seal is valid
Auditability	refers to the ability of an auditor to achieve a comprehensive examination of the financial records and financial statements of a client
Bund	Refers to the German Federal Government Administration
Bundesland/-länder or Länder	Refers to the Federal States and Federal Cities of Germany



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Germany, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Federal Central Tax Office (BZST) • Federal Finance of Ministry (BMF) • Federal Ministry of the Interior, Building, and Community (BMI) • IT-Planungsrat (National IT Planning Council) • Forum elektronische Rechnung Deutschland (FeRD) • Verband elektronische Rechnung (VeR) • Coordination Center for IT- Standards (KoSIT)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• The German VAT Code, Sales Tax Law (USTG) • E-Government Act (EGovG) • eInvoicing Ordinance (ERechV) • Trust Services Act (VDG)



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes¹	• Post audit • Moving towards centralised e-invoicing for B2G
e-Invoicing model	• An invoice is considered electronic if: ◦ It is issued, transmitted and received in a structured format, and ◦ The format enables automatic and electronic processing of the invoice
e-Invoice definition²	• Differences exist between Bund and Länder public entities (B2G) as well as for B2B trading
Scope of taxpayers the e-document mandate applies to	• All suppliers and service providers of public contracts • All Bund and Länder public contracting entities. • All Bund and Länder public contracting entities may adopt Peppol by Oct 2023 as per the recommendation from the IT Planning Council³
Mandatory AoR (document response) process	• November 27, 2018 for the Direct federal authorities • November 27, 2019 for Sub-central public clients • From April 18, 2020, for all other non-federal public contracting entities
Implementation / roll-out plan	• Suppliers are required to send e-invoices from ◦ 27 November 2020 to Bund public entities ◦ 27 November 2020 to Bundesland, Bremen public authorities

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

³ https://www.it-planungsrat.de/fileadmin/beschluesse/2022/Beschluss2022-31_Evaluation_Peppol.pdf

- | | |
|--|---|
| | <ul style="list-style-type: none">○ 1 January 2022 to Bundesland, Baden-Württemberg public authorities○ 18 April 2024 to Bundesland, Hessen public authorities |
|--|---|



4. Before switching to e-invoices

4.1. IT⁴ registration

The following thresholds apply to the requirement to be registered for a IT number in Germany:

- Exemption for small businesses – EUR 17.500
- Application of the special scheme for acquisitions by taxable persons not entitled to deduct input tax and by non-taxable legal persons – EUR 12.500
- Application of the special scheme for distance selling – EUR 100.000

Please note that the thresholds stated above are not an exhaustive list of circumstances requiring local IT registration.

A non-established business is not required to register for German VAT if all of its supplies are covered by the reverse-charge procedure (under which the recipient of the supply must self-assess VAT).

In principle, a non-established business that is required to register for VAT in Germany may not appoint a tax representative. A tax representative may be appointed only if the non-established business does not have any German VAT to reclaim and exclusively makes supplies that are either exempt from German VAT or exempt with credit.

VAT ID No. Format: DE123456789 (DE+9 digits)

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
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⁴ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Actions towards authorities, required in order to enable electronic processing instead of conventional processing	No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	- Switch to eInvoicing requires acceptance by the buyer - The acceptance does not require to be formalized, it can occur by tacit agreement, e.g. by paying the invoice
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	No explicit requirements

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Not required, however, strongly recommended
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	Not required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Germany has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2G	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Xrechnung latest version (Domestic) • Structured formats compatible with the European Norm (EN) (Cross-border) • ZUGFeRD v2	• n.a.
Other document format(s) commonly used for exchange between trading parties	• n.a.	• PDF, PDF/A3, TIFF, EDIFACT
Mandated platform(s) required to have connection with for e-document processing	• ZRE, Direct federal administrations • OZG-RE, Sub-central Federal administrations	• n.a.
Other platform(s) relevant for e-document processing	• Bundesländer and municipalities may have individual infrastructures	• n.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• n.a.	• n.a.

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• Leitweg ID • Peppol routing, German Peppol ID prefix: 0204, followed by LeitwegID, or separate buyer specific Peppol ID • Peppol routing prefix 9930
Other technical aspects	• All public entity e-invoice receiving platforms must support Peppol connectivity if they want to offer automated invoice submission • n.a.

5.2. Communication with the mandatory infrastructure

Regulations in Germany foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• It is offered to suppliers, must be at least Peppol
Manual	• A web portal, web upload, and email/DE mail capabilities
Other options	• Other solutions are possible

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country.

B2B:

There are no specific requirements for the creation of e-invoices in Germany. Invoice issuance follows the post-audit model.

B2G:

The central federal invoice receipt platform (**ZRE**) is used by invoice recipients of the direct **federal administration** to receive electronic invoices. The **OZG - RE** serves invoice recipients of the **indirect federal administration** to receive electronic invoices. Received electronic invoices are checked automatically and converted into a uniform invoice format. The electronic invoices are then made available to the public addressees via a standard interface. e-invoices submitted via other means such as email

or through Peppol maybe have quality control checks conducted on them before being relayed onto the target end receiver.

The e-invoice is considered to have been received by the invoice recipient as soon as the invoice status is displayed as "submitted". This is the case when the invoice has been received by the OZG-RE or ZRE and has undergone the validation checks outlined above. This is dependent on adherence to the requirements for formats and size restrictions for electronic invoices and supporting documents such as embedded attachments. The Federal Portal allows the user to track the status of electronic invoices via log data in the Portal's web service. Log data are deleted 30 days after the last status change.

e-invoices may be created, uploaded and issued to Public clients in other Bundesländer specific portals. See section [10.2.5](#).

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

Cross-border suppliers must follow the Federal governments e-invoicing mandate however, other formats are available. Any EN compliant format is acceptable. i.e. Peppol BIS 3.0.

Cross-border suppliers supplying good and or services to other states and public agencies can submit e-invoices according to Xrechnung format or other EN compatible formats.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

There are no validation requirements for invoice receivers (buyers) in Germany neither on the B2B nor the B2G side.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

B2B:

no explicit requirements.

B2G:

The e-invoice is considered to have been received by the invoice recipient as soon as the invoice status is displayed as "submitted" in the Federal Portals i.e. OZG-RE and ZRE.

Public Entities that receive invoices via a federal portal, the platform conducts checks to make sure that the e-invoices, entering the platform, are virus-free and a complete correctness examination. Erroneous invoices will be rejected by the platform before being passed on to the receiving party. An e-invoice that is accepted by the platform is redirected to the target receiver, identified by the Leitweg ID in the Xrechnung invoices, or email address for other format invoices.

Public authorities behind OZG-RE can choose whether they want to receive the e-invoices intended for them by e-mail or whether they are to be transferred to their systems fully automatically via an electronic interface, email or other option.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

There are no explicit requirements for the form of inbound invoices, or e-invoices alike.

5.5. AoR (response) process

No explicit requirement on the Recipient to provide to the Supplier confirmation/notification that an eInvoice has been received.

5.6. Governmental platform validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

In B2G scenarios, there is no single Mandatory HUB that e-invoices are required to be transmitted via before reaching their targeted recipient. Receivers may be required to make use of platforms for e-invoice reception. The hubs add an extra line of defence conducting checks for viruses or other technical errors. Further, the hubs allow for a greater variety of reception channels and e-invoice formats. Invoice senders are notified of technical acceptance by the platform depending on the transmission channel and or of errors/rejections.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

In Germany, there is no requirement for a visual presentation to be transmitted along with structured invoices such as Xrechnung. Other visual formats such as ZUGFeRD and PDF can be distributed parallelly to the buyer, for convenience, but only the structure data (original) invoice is required to be stored. Further, there is no requirement for copies to be marked up or distinguishable from the original.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Item	Commentary
Push communication	Allowed
Pull communication	- Requires acceptance by the trading party - Not acceptable in B2G scenarios
E-mail distribution	- Allowed - For B2G eInvoicing⁵, DE-mail may be offered
Webportal⁶	Allowed
Scanning inbound invoices	Allowed for B2B
Scanning outbound invoicing	Allowed, but but the invoice might be required to be distributed in a structured form

In Germany, Public receivers (B2G) are required to have the means to receive and process Xrechnung format invoices, as previously mentioned, and several channels may be

⁵ Use of the Email distribution channel for B2G e-invoicing may require the end user (issuer) to register for an account of the respective public clients e-invoice receiving portal.

⁶ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

available for the supplier to transmit the invoice to the targeted buyer. The channels available are usually expressed in the tender, which should include information such as the receivers' Leitweg ID and or Peppol ID.

Private trading parties (B2B) are free to choose the method and format of invoice distribution. As long as the invoice contains all the relevant content as required by law and expressed in [section 6](#) below.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

The issuer must change the invoice, normally the recipient must send a written confirmation that he has destroyed the e-invoice. In practice, the initial invoice must be fully credited by a credit note and a new invoice issued. After that, he generates a new and correct e-invoice.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	There are no specific requirements, however, is recommended to be avoided
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	Yes
Whether any conditions apply, and which, to the dematerialisation	- The scanning process must be in line with the principles provided by the Guidance on electronic archiving of accounting and tax information and electronic data access (GoBD): - The scanning result must not restrict the traceability and verifiability by the tax authorities, - A coloured picture of the invoice has to be provided in cases where the colour is of evidential value for the invoice minimum content, - Direct access to the tax authorities, as well as the readability of the electronic scan file at a computer screen, must be guaranteed, and

	○ The scanning process/workflow has to be described in process documentation. ○ Only if the above is followed, the paper invoice may be destroyed
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Yes
Whether any conditions apply, and which, to the materialisation	• Not allowed to be used as a replacement of the electronic original. Permitted for processing.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

There is no mandatory infrastructure for invoice distribution, however, if a governmental invoice receiving platform is down or non-responsive. The invoice issuer should get in contact with the public receiving party to identify other means of invoice distribution/reception.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Simplified invoice (Optional, if the invoice total value is under 250 EUR) • Credit / debit note
Documents mandatory for issuance by buyer	• No explicit requirements

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Yes

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g., a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes

Worldwide numbering on legal entity level allowed provided that gaps can be explained	• Yes. • It is also permissible to use only one sequential number range within the framework of a worldwide accounting system of various group companies located in different countries, sect. 14.5(10)(5) of the VAT Application Decree
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• No, but recommended

6.2.2. Additional document numbering

In the framework of their business purposes (i.e. when there are several invoicing sites for one company, self-invoicing, or when there are several clients for which the invoicing rules are different), the taxable persons may use invoicing numbering with a distinct series of numbers as long as the following conditions are met:

- the numbering of the invoices must be chronological at issuance
- the numbering must be continuous
- the numbering can be split into separate series if justified by the operations; **and**

two invoices issued during the same calendar year may not contain the same number.

6.3. Indirect tax (IT)⁷ rates

This section illustrates the applied IT⁸ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
19%	Standard	All other taxable goods and services
7%	Reduced	Some foodstuffs, water supplies, medical equipment for disabled persons, some domestic passenger transport, intra-community and international passenger transport for certain road, rail and inland waterway transportation, books (excluding e-books), newspapers and periodicals, admission to cultural events, writers and composers, some agricultural supplies (fertilizers), hotel accommodation, certain admission to sports events, social services, medical and dental care, firewood, some timber for industrial use, take away food, cut flowers, and plants for decorative use and food production, taxation of some gold coins and jewelry

⁷ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁸ Local name: Value Added Tax or MwSt – Mehrwertsteuer (German)

0%	Zero	Intra-community and international transport (excluding road and rail and some inland waterways transport)
	Exempt	Land and buildings, financial transactions, insurance, education, medical services

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Germany. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• No, but recommended
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• No, but translation can be requested
Sequential numbering	• Yes, see section 6.2.1. above
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No information is currently available

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply. • The supplier must indicate in the invoice either the tax number issued by the local German tax office or the VAT registration number issued by the Federal Central Tax Office, sect. 14(4)(1) number 2 GVATA
IT identification number of the supplier in the country of establishment	• No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes
Legal form of the supplier	• Yes

	The full name of the supplier has to be mentioned i.e. the legal form is mandatory if it is part of the name.
Trade register number of the supplier	No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	No
Place of legal seat of the supplier (Headquarters)	- Yes - Legal address
Other supplier data	- Yes - Local tax number unless VAT identification number is mentioned

Customer data	
Full legal name of the customer	Yes
Allowed to abbreviate or shorten the legal name of the customer	Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	Yes
Bill-to address when it is different from the registered address of the customer	Yes, provided the registered address is also mentioned
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	- Yes - Any type of address is sufficient, provided that the customer can be reached at this address. sect. 14.5(2)(3) VAT Application Decree.
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	No, but recommended
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	Yes
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	No
Other customer data	No

Transaction data	
Date of issue	Yes

Date of supply (chargeable event)	• Yes
Date of prepayment	• Only if it differs from the invoice date • Only if it can be predicted and differs from the date of issue
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended
Shipped to location (for the supply of goods)	• No, but recommended
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• No, but recommended
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• No
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• No, but recommended
Mandatory to mention the total IT amount due in the national currency	• No • The tax authorities publish a monthly table with the currency exchange rates applicable for VAT purposes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• No
Which exchange rate must be applied in order of priority	• Monthly average rate of exchange given by the Federal Ministry of Finance; • If permission is granted by the tax authorities, the daily exchange rate may be used

Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• Yes
List the required references in case of exemption or reverse charge	• In case of reverse Charge "Steuerschuldnerschaft des Leistungsempfängers" or equivalent in other European languages.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Yes
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• Yes
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• Any reduction of the remuneration agreed in advance must also be indicated, unless it has already been taken into account in the remuneration • This applies both in the case of tax being stated in an invoice and in the case of a reference to a tax exemption

Specific references required in case invoicing is outsourced	No
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	No
Other specific requirements/references to be mentioned on an invoice	Yes, there are various regulations on consumer protection that might influence the layout of invoices to private individuals - this is a case-by-case decision

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	Yes
Maximum amount for simplified invoices	EUR 250,00
Other supplies for which a simplified invoice can be issued	Travel tickets
Simplified invoices limited to certain type of supplies	No
Simplified invoices not allowed for certain transactions	- Yes - Sect. 33 sentence 3 of the VAT Implementing Regulation - remote sale, sect. 3c GVATA - intra-Community supplies, sect. 6a GVATA - supplies under reverse charge, sect. 13b GVATA
Minimum content requirements on a simplified invoice	- Name and address of invoicer - Description and date of service and supplies - Date of invoice - Sum and VAT amount - Applier VAT rate

Invoices subject to the national invoice requirements (not self-bills)	• Invoices issued by a non-established supplier on which VAT is due by the supplier • Invoices issued by a non-established supplier which are taxable in our country but VAT is due by the customer • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the customer • Invoices issued by an established supplier that are taxable in another country but where VAT is due by the supplier • Invoices issued by an established supplier that are taxable in our country
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Germany, corrective invoices must be issued as rectification documents. A corrective invoice should include at least the following information:

- Reference to the number of the original invoice or, if impossible (e.g., discount at the end of the year), reference to series of invoices, period or contract;
- The net amount of discount/reduction granted and amount of VAT relating;
- Name and address of parties, total net amount and VAT after application of price reduction.

Other corrections, e.g., if VAT was not shown or incorrect VAT number was used) are possible; in that case correction with issuing credit note and new/correct invoice or with issuing an accompanying document which refers to the original invoice and adds the missing/correct data.

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

The provision of any additional content in the mandatory XML is not regulated. There are only two additional elements; Other texts and Other content, that can be used for the provision of additional information. The content of these fields is not structured.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Required	• Required
Which methods for ensuing I&A are provisioned for	• Any method accepted: EDI, Business Controls and eSignature	• Any method accepted: EDI, Business Controls and eSignature Validation
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Explicit agreement (no content requirements) strongly recommended	• No explicit requirements, but an explicit agreement is strongly recommended

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Minimum QES, in line with eIDAS
Automated e-signing	• No explicit requirements

Time-stamping of e-signature

- No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Mandatory; the Buyer should maintain a "log" from the validation process
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original invoice with signature including certificate or other evidence of integrity and authenticity as appropriate • If the original electronic invoices are converted into an in-house format, both files must be linked with one another and stored.
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• The electronic documents must also be readable and machine-evaluable at any time during the retention period
Retention period for invoices not related to immovable property⁹	• 10 years
Start point of retention period calculation for invoices not related to immovable property	• The storage period begins with the end of the calendar year in which the invoice was issued
Retention period for e- invoices related to immovable property	• 10 years
Start point of retention period calculation for invoices related to immovable property	• The storage period begins with the end of the calendar year in which the invoice was issued

⁹ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	The general rule explicitly applies to a supplier of vehicles, the last recipient in the case of an intra-community triangulation and the recipient of supplies of goods or services under the reverse-charge-mechanism
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	From the end of the calendar year to which they relate
Outsourced archiving	Allowed
Archiving abroad¹⁰ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	- Permitted in EU subject to prior notification and online access - Outside of EU additionally subject to the existence of a mutual tax assistance treaty or a treaty to ensure online access, download and usage of all tax relevant data
Other requirements in relation to electronic document retention	- Online access from a German desktop must be guaranteed - At least search of files by supplier or invoice date must be guaranteed - Process documentation describing the organizational and technical procedures for archiving at a level of detail that enables an auditor to evaluate the process is required - Further archiving requirements are expressed in 10.2

¹⁰ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• In general, German VAT returns must be filed electronically with authentication verified by an electronic certificate that the taxpayer receives by registering on the ELSTER Online-Portal



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

B2B: Currently there is no e-invoicing mandate in the B2B sector, therefore, there are no penalties in this regard.

B2G: Entities must comply with the [German VAT Act](#). Non-compliance with the German VAT Act such as failure to issue an invoice or failure to issue it in time may result in a penalty of up to 5,000 euro.

10.2. Indirect tax reporting

The German Ministry of Finance released a discussion paper where the plans to introduce e-reporting was presented. It is expected that the digital reporting system to be implemented will be based on the VIDA draft.

10.3. GoBD Legislation

Germany's GoBD ("Principles for the proper management and storage of books, records and documents in electronic form, as well as data access") set out requirements governing the accounting and storage of fiscally significant electronic data and paper documents with reference to the country's generally accepted accounting principles (GoB).

The guidelines were published in a [written statement](#) by the Federal Ministry of Finance (BMF) in November 2014. Since 1st January 2015, the new regulations replaced the generally accepted principles of computer-based accounting systems and regulations of data access and verifiability of electronic documents that had been valid until that point (GDPdU).

The GoBD applies to all tax-relevant data. These include, among others,

- books and records, inventories, financial statements, management reports, the opening balance sheet, plus work instructions and other organizational documentation necessary to understand them,
- commercial or business letters received,
- copies of commercial or business letters dispatched,
- accounting records and
- other fiscally significant documentation.

Scope of the GoBD

The GoBD applies to all entrepreneurs. Not only for those who are obliged to keep books, but also if no double bookkeeping is required. Even sole traders or freelancers must keep their records according to the GoBD guidelines. The tax office is only instructed to assess the fulfillment of the requirements for the records according to the GoBD also with regard to the size of the company in the case of micro-enterprises that determine their profit through an income surplus calculation (up to EUR 17,500 in annual turnover) (GoBD para. 15).

"GoBD-compliant" data processing systems

The financial administration does not provide any specific information on how a software product or cloud service must be designed in order to be GoBD-compliant. The tax offices will not issue a judgment in this specific case. Neither as part of an external audit nor through binding information. "GoBD-compliant" seals of approval are intended to take away the uncertainty from the customer. However, these seals can only provide an indication when selecting a product or a service.

10.4. EU Directive implementation status

As part of the implementation of the Procurement Directive in Germany, the IT Planning Council has initially made two decisions:

- In June 2017, it was mandated for public authorities to receive and process EN compliant Xrechnung invoices. National authorities can, but are not required to, accept other EN compatible formats.
- In April 2018, it was decided to establish a standard automated data exchange method – the PEPPOL eDelivery Network. National authorities can also accept other ways of transport for e-invoices.

In October 2018, the IT Planning Council has made the following decisions:

- The obligation for all authorities to always offer Peppol, **if** an automated data submission/exchange¹¹ is provided for the delivery of e-invoices, and
- Highlighted the importance for Länder to ensure as uniform as a possible implementation of the e-invoicing requirements

¹¹ This could include, but is not limited to AS2, AS4, FTP(s), SFTP, API, SOAP

Due to the federal structure in Germany, the federal government and the 16 federal states must each pass their e-invoicing laws to implement the Procurement Directive which might cause deviations from the implementation on the federal level as described above.

Implementation status of invoicing infrastructures:

- A Direct Federal infrastructure [ZRE](#) went live in November 2018,
- Some Länder will use another shared portal [OZG-RE](#), this portal is also to be used by sub-central federal government administrations and clients
- Other Länder will build their own portals,
- Some Länder plan to use no portal or still have no planning.

All invoicing infrastructures are obliged the following transmission types:

- Manual creation of XRechnung e-invoices by keying in webportal,
- Manual upload of XRechnung e-invoice via a webportal,
- Sending of XRechnung e-invoices via e-mail,

Each infrastructure may decide to optionally offer an automated data submission/exchange:

- If decided, then exchange via Peppol Network¹² **is mandatory** for such platforms.

On the one hand, this means that there is no certainty that all regional and local infrastructures will offer Peppol capabilities from day one of the mandate. From our experience, however, eventually, all or nearly all infrastructures tend to joint single approach, both to simplify things for the businesses and to optimise own costs and processes. Spain could be mentioned as an example of such development, wherein the beginning of the B2G e-invoicing mandate many regions created their own e-invoice receiving infrastructures, while currently nearly all are connected to the central platform FACe. In the case of Germany, both the central infrastructure and some regions have already decided to offer Peppol connection.

10.4.1. B2G eInvoicing formats

The IT Planning Council has currently approved only one EN compatible format – **Xrechnung**. The purpose of this section is to both clarify this aspect as well as outline the various differences between the XRechnung format and the widely discussed ZUGFeRD format.

A detailed overview and best practice recommendations on e-invoice format in Germany can be found [here](#).

¹² IT Planning Council and KoSIT have selected AS4 communication protocol as the only compliant in German PEPPOL Network

10.4.1.1. Xrechnung

Xrechnung standard was issued in version 1.1 by KoSIT on November 30, 2017; and recently version 1.2 was published. In accordance with a decision of the National IT Planning Council dated 22 June 2017, XRechnung is instrumental in the implementation of electronic invoicing in Germany.

10.4.1.2. ZUGFeRD

Forum Elektronische Rechnung Deutschland (FeRD) has been working on the creation of a so-called hybrid invoice, which combines PDF-A/3 and structured machine-readable format. Version 1.0 of this format has been in the market for some years but has gained only limited adoption in the market.

At this moment, FeRD has just released a ZUGFeRD version 2.1. Five profiles of ZUGFeRD v2.0 have been released, however, only two – Profil EN 16931 COMFORT and EXTENDED – are EN compatible.

10.4.1.3. XRechnung to ZUGFeRD comparison

Item	XRechnung	ZUGFeRD
Status	Compatible with EN and defined as mandatory e-invoice format in E-Rech-VO	ZUGFeRD 1.0 is not EN compatible, while only some ZUGFeRD 2.0 profiles are EN compatible
IT Planning Council approved	Yes	No
Maintained by	Governmental agency: KoSIT	National forum: FeRD
Compatible with EN 16931 on e-invoicing	Yes	Only Profile EN-16931 COMFORT and EXTENDED
Version available	Version 1.1. approved and live Version 1.2 will be mandatory as of 1 July 2019	Version 2.0 published on March 11, 2019
Format availability of the structured invoice	Both UBL ¹³ and CII ¹⁴ are available	Only CII is available
Live testing performed	XRechnung v1.1 has been live tested by VeR	To our knowledge, v2.0 has not yet been live tested

¹³ Universal Business Language

¹⁴ Cross Industry Invoice

10.4.2. Routing ID (Leitweg-ID)

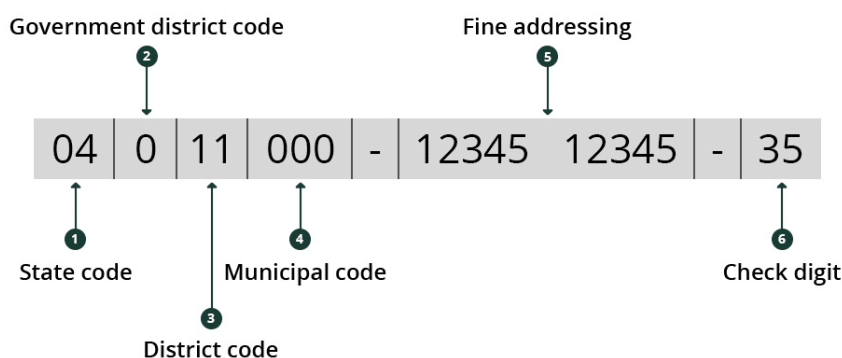
Invoice submission directly to the platforms

Despite the existence of various platforms, Germany has implemented a unified routing logic which is explained in detail in [this document](#). This Routing ID (Leitweg ID) allows the invoicing platform to correctly distribute the invoice to the contracting authority. The Leitweg ID is mandatory in the Xrechnung schema.

The creation of the route ID is based on the KoSIT specification. The route ID basically consists of three components:

1. Rough addressing (made up of State, Gov District, District, and municipal coeds),
2. Fine addressing and
3. Check digit.

The Routing ID has the following structure:



Further, the so-called rough addressing can be used to distinguish whether the invoice recipient belongs to the federal administration or to a federal state.

991: The invoice recipient is part of the direct federal administration or a constitutional body and receives electronic invoices via the ZRE.

992: The invoice recipient is part of the indirect federal administration and receives electronic invoices via the OZG-RE.

993: The invoice recipient is part of the indirect federal administration and receives electronic invoices via its own solution (neither ZRE nor OZG-RE)

State codes can be used to identify which state the public entity is located in:

01: Schleswig-Holstein

02: Hamburg

03: Lower Saxony

04: Bremen

05: North Rhine-Westphalia

06: Hesse(n)

07: Rhineland Pfalz (Palatinate)

08: Baden-Wurttemberg

09: Bavaria (Bayern)

10: Saarland

- 11: Berlin
- 12: Brandenburg
- 13. Mecklenburg Vorpommern
- 14: Saxony
- 15: Saxony-Anhalt
- 16: Thuringia

Invoice submission via Peppol

Ordinary PEPPOL routing logic will be used applying PEPPOL Routing ID. The Peppol Routing ID's structure:

- DE: LID (9958: Leitweg ID) DECOMMISSIONED
- DE: LWID (0204: Koordinierungsstelle für IT-Standards (KoSIT)) B2G
 - There may also be state specific ID's i.e. 01-KOMMUNEN-27 for Schleswig-Holstein, instead of the Leitweg ID of the buyer.
- DE: VAT (9930: Germany VAT number)

10.4.3. Federal platform – ZRE

The Federal Central Invoice Receiving Platform (ZRE) creates a central entrance for electronic bills (e-bills) in the standard XRechnung to the federal administration. Companies can register for the platform [here](#).

The [ZRE](#) enables einvoice transmission to the highest federal administration and constitutional bodies only. Subordinate authorities of the division, Indirect Federal Administration, Grant recipients are to use the OZG-RE portal for e-invoice reception.

ZRE supports the following transmission channels for invoicing:

- Web portal – manual entry
- Upload – Xrechnung
- e-mail – Xrechnung
- Peppol – PEPPOL BIS 3 DE CIUS, Xrechnung
- De-Mail – Xrechnung

The invoices are automatically checked for correctness by ZRE and then provided to the contracting authority using their Routing ID. Routing ID will be communicated to the supplier by the buyer.

The e-invoice must contain the mandatory information in accordance with Section 5 of the Federal E-Invoice Ordinance (ERechV)

Besides, the VAT specific content requirements, the following data elements must be provided:

Mandatory element	Xrechnung field ("BT" number)
Routing ID	BT-10
Bank account	For bank transfer: BT-84 to BT-86 or for direct debit: BT-89 to 91
Payment terms	BT-20
e-mail or DE-mail	BT-43
Supplier number	BT-29 (if PO based)
Order number	BT-13 (if PO based)

Requirements to attachments

The following formats are permitted for calculation-based attachments:

- PDF documents
- Images (PNG, JPG)
- Text files (CSV)
- Excel Spreadsheets (XLSX)
- OpenDocument Spreadsheets (ODS)

eInvoice submission, incl. attachments, may not exceed 15 MB and the number of attachments may not exceed 200 files.

Invoice types accepted by the platform

“Invoice type code” (BT-3) element

Code	Name
326	Partial Invoice
380	Complete invoice (Rechnung)
381	Credit note (Gutschrift)
384	Corrective Invoice (Korrigierte Rechnung)
399	Self-billed invoice
875	Partial invoice (Abschlags-rechnung)
876	Partial final invoice (Teilschlussrechnung)
877	Final invoice (Schlussrechnung)

Registration with ZRE, to gain access as a supplier for manual invoice creation and submission

When registering you must provide:

- Go to: xrechnung.bund.de
- Provide First and Last Name
- Create Username
- Provide e-mail address
- Create Password

More information can be found on their [website](#).

An [information video](#) is also available in German.

10.4.4. OZG-RE

[Bundesdruckerei](#) is the operator of the [OZG-compliant invoice receipt platform](#) (short: OZG-RE)

Sub-central Federal Public authorities and public authorities in several of the Bundesländer are expected to receive e-invoices via the OZG-RE portal. Companies can register for the platform [here](#).

Billing requirements and communication channels

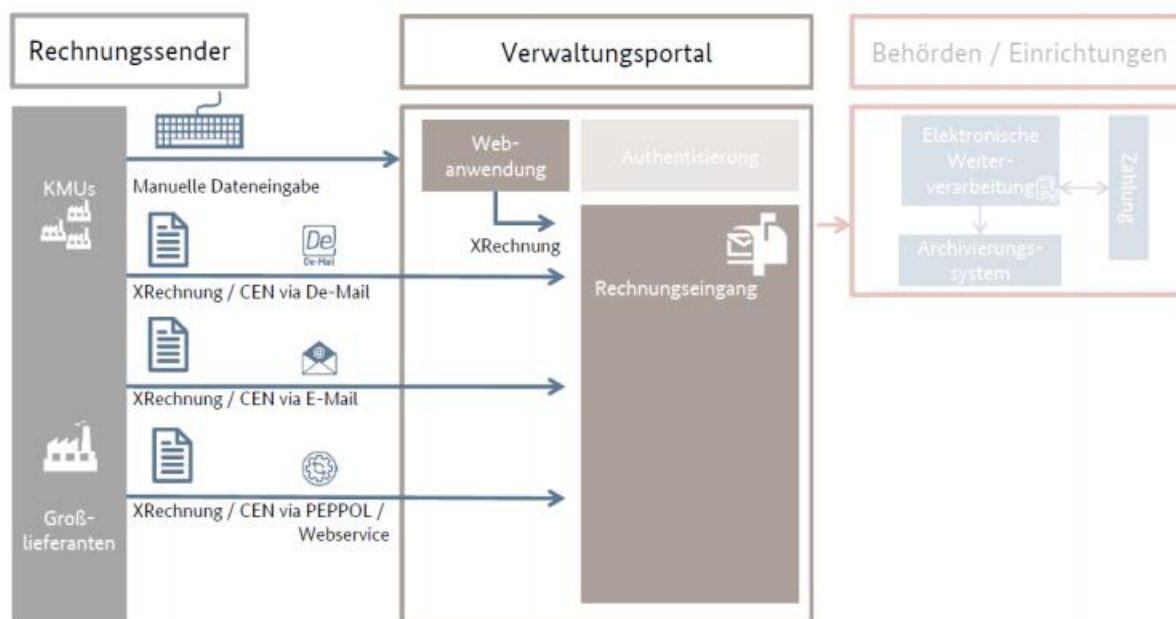
The requirements for invoicing at the OZG-RE differ depending on the public entity order method. Regardless of the ordering method, it should always be noted that a separate invoice must be sent for each order. Collective bills are not permitted.

OZG-RE specific information can be found [here](#).

OZG-RE supports the following transmission channels for invoicing:

- Web upload
- Web portal (manual)
- e-mail (Xrechnung)

Web service (PEPPOL)



Transmission of e-invoices via web upload

As soon as you are registered in the OZG-RE, you can upload e-invoices directly in the portal. Use the "Submit externally created XRechnung (upload)", in German "Extern erstellte XRechnung einreichen (Upload)", area to upload existing e-invoices in the standard Xrechnung (XML format). After the virus and schema check for completeness of the data has been carried out, the e-invoice is sent to the routed destination found using the "route ID" the invoice contains.

Web portal to generate e-invoice

If you do not have an IT process that can generate invoices in the standard Xrechnung format, you have the option of generating e-invoices directly via the OZG-RE portal and then transmitting them. In the "Start data entry", in German "Dateneingabe starten", area, you can enter your invoice data using an input form and attach documents accompanying the invoice.

Transmission of e-invoices by email

Each user of the OZG-RE receives a unique email address, via which they can send e-invoices to the OZG-RE. For example, e-mails can be generated from IT processes, which can then be sent directly to OZG-RE without manual effort. Via the area "Send externally created e-invoice via email" you can copy the relevant email address to the clipboard or generate an email directly to the OZG-RE.

OZG-RE connected eInvoice recipients

Can choose whether they want to receive the invoices intended for them by e-mail or whether they are to be transferred to their own systems fully automatically via an electronic interface. This enables the efficient processing and rapid payment of e-invoices in the individual authorities.

Public authorities in the following Bundesländer are expected to receive e-invoices via the OZG-RE portal

- Brandenburg (<https://mdfe.brandenburg.de/cms/detail.php/bb1.c.655308.de>)
- Berlin (<https://www.berlin.de/e-rechnung/faq/artikel.771754.php>)
- MV (<https://www.laf-mv.de/finanzen/Service-Finanzen/FAQ/>)
- Sachsen (<https://www.e-rechnung.sachsen.de/handreichung-3973.html>)
- Thüringen (<https://finanzen.thueringen.de/themen/egovernment/projekte/e-rechnung/>)

10.4.5. Other state-owned e-invoice receiving platforms

Some Länder have built or are in the process of building their own platform to offer the public sector e-invoice receiving capabilities:

- Bremen ([ZERIKA](#))
- Hamburg ([Elektronische Poststelle](#))
- Nordrhein-Westfalen (Service account Vergabe [NRW](#))
- Rhineland Pfalz ([RLP](#))
- Saarland (Sharing RLP)
- Schleswig-Holstein ([Service Portal](#))
- Baden-Württemberg ([Zentraler Rechnungseingang](#))
- Lower Saxony ([NAVO](#))
- Saxony-Anhalt ([E-Rechnungsportal](#))

The capabilities of these platforms differ substantially, from the simple upload of Xrechnung or manual keying in of data to automated Peppol offerings. The platform

capabilities are expected to develop with time and supplier communities push for more options for invoice delivery. A summary of the state-owned platforms can be found in the appendix.

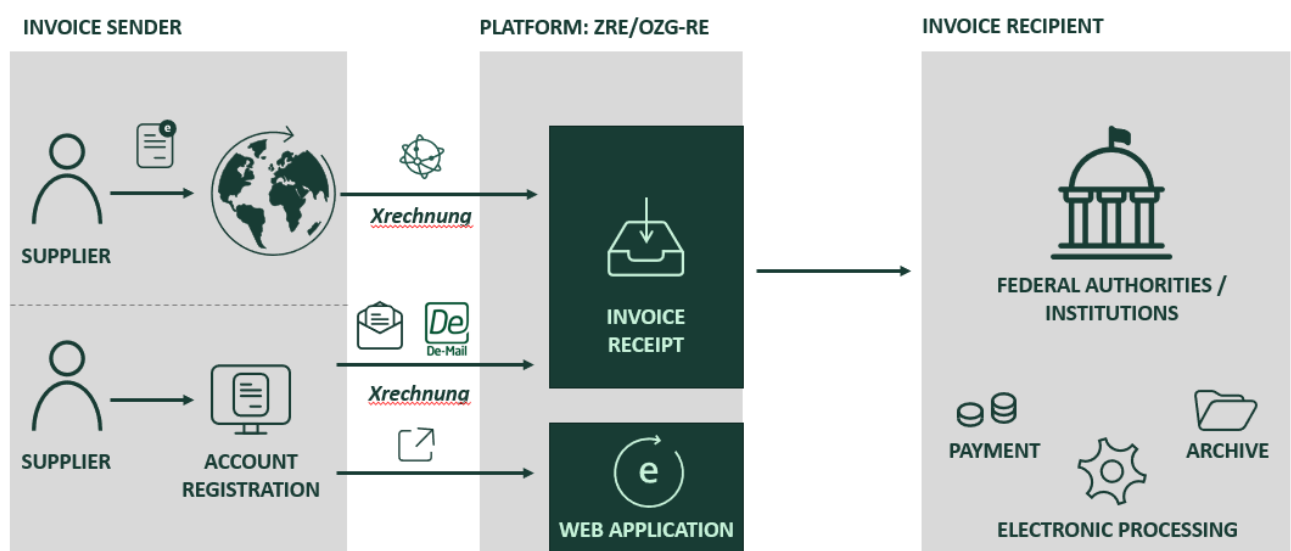


11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements, outlined in [section 10](#), to ensure compliant local processing.

11.1. Document issuance with Pagero

To Federal Administration (B2G)



11.2. Document reception (AP) with Pagero

Currently, there are no particular methods for e-invoice distribution or receiving capabilities in Germany in private B2B sectors. Pagero can act on behalf of the buyer to receive, paper image-based invoices (PDF, etc) or e-invoices in multiple formats including Xrechnung and deliver them to the buyer in their preferred form.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
18 December 2017	Document created
4 March 2020	• Added information about länder e-invoicing • Added länder readiness • Updated some länder submission regulations
28 May 2020	• Updates on länder infrastructures and summaries • Added supplier mandate Hessen
30 September 2020	• Minor alterations in the text and document issuance • Changes in the OZG-RE section • Links to SH service portal
9 September 2022	• Appendix 1: Amending Peppol adoption status in the different federal states. And Peppol AP names. • Updated section 3: recommended Peppol use for all public entities.
28 July 2023	• Section 10: Added Penalties and e-reporting

Appendix 1

German Federal states summary.

Schleswig-Holstein

Scope	Explanation
Identification	Leitweg-ID (BT 10)
Format(s)	Xrechnung by e-bill law
Infrastructure	Under construction
Mandatory use	Not mandatory
Supplier mandate	None
Acceptance obligation	For state authorities, the acceptance obligation applies for all invoices values. For other authorities and municipalities, only the invoices over EUR 1000 are obliged to be accepted (see § 52g (2) LVwG)
Commentary	(1) This law applies to the public law administrative activity of the public administration authorities in the state of Schleswig-Holstein. The law also applies to the organization of public administration bodies, unless it is regulated by special laws. (2) This law does not apply to the organization and activity of the federal government, churches , religious societies and ideological communities under public law and their associations and institutions in the state of Schleswig-Holstein.
Peppol Connectivity	enabled
Peppol AP	Dataport
Legislation	Electronic Administration Act for Schleswig-Holstein (E-Government Act - EGovG) of July 8, 2009

Hamburg

Scope	Explanation
Identification	Leitweg-ID (BT 10) Xrechnung
Format(s)	Xrechnung by e-bill law, ZUGFeRD and PDF
Infrastructure	Elektronische Poststelle
Mandatory use	Not mandatory

Supplier mandate	None
Acceptance obligation	All invoice values
Commentary	This electronic post office offers suppliers the possibility of secure electronic communication with the Hamburg administration. They can contact the authorities and offices of the Free and Hanseatic City of Hamburg directly To ensure confidentiality, transmission to the electronic post office is carried out automatically via an encrypted connection (SSL). Incoming messages are documented with a timestamp down to the second. Further, files with a qualified electronic signature can also be transmitted as part of electronic communication.
Peppol Connectivity	Yes
Peppol AP	Dataport
Legislation	Hamburg has no e-government law and therefore no basis for a corresponding legal regulation

Lower Saxony

Scope	Explanation
Identification	Leitweg-ID (BT 10)
Format(s)	Xrechnung by e-bill Law
Infrastructure Mandatory use	NAVO Developed by FJD
Supplier mandate	None formally Contracting authorities are free to contractually agree on a corresponding obligation from July 1, 2021
Acceptance obligation	All invoice values Invoice recipients must enable the transmission of electronic invoices at least by email or by web upload
Commentary	The state will operate a central ePost point for e-invoices as a basic service, which must also enable web entry of invoices, and from April 2022, a web service infrastructure. All public clients in Lower Saxony can connect to IT.N's central ePoststelle. http://www.rechnung.niedersachsen.de/
Peppol Connectivity	No
Peppol AP	In progress
Legislation	Niedersächsisches Gesetz über digitale Verwaltung und Informationssicherheit (NDIG)

North Rhine-Westphalia

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung (current version), or other EN-compatible
Infrastructure	NRW (web portal (manual), e-mail)
Mandatory use	Not mandatory
Supplier mandate	None formally Contracting authorities are free to contractually agree a corresponding obligation Invoicing via Peppol is currently not possible in NRW. The addition is planned in the future.
Acceptance obligation	Irrespective of the order value and the amount of the invoice, electronic invoices are to be received and processed
Commentary	Invoicing to the public administration in North Rhine-Westphalia is possible from April 1st, 2020
Peppol Connectivity	Yes
Peppol AP	Dataport
Legislation	EGovG NRW NRW E-Invoice Ordinance

Rhineland Pfalz (Palatinate)

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	At least Xrechnung Also Peppol BIS and Zugferd 2.0
Infrastructure	RLP (Peppol, web portal, e-mail, DE-mail)
Mandatory use	Not mandatory
Supplier mandate	None formally
Acceptance obligation	All invoice values
Commentary	Rheinland-Pfalz will offer a web service in the future, but not on April 18, It should be possible to submit an e-invoice in the Xrechnung format in the portal from spring 2020
Peppol Connectivity	Yes, but has not been used yet
Peppol AP	Unknown

Saarland

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Expected XRechnung, PEPPOL BIS and ZUGFeRD
Infrastructure	Sharing RLP portal
Mandatory use	Not mandatory
Supplier mandate	None
Acceptance obligation	All invoice values
Commentary	With the new §10a E-GovG SL, the state government is implementing the EU directive in Saarland into national law The Saarland obliges the authorities to also receive invoices electronically below the so-called EU threshold values. https://e-rechnung.ego-saar.de/
Peppol Connectivity	Yes, but has not been used yet
Peppol AP	Unknown
Legislation	Saarland E-Government Law - E-GovG SL

Baden-Württemberg

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	XRechnung, other EN compliant formats and ZUGFeRD 2.0
Infrastructure	Service portal (Upload, Email), Peppol in the future
Mandatory use	Not mandatory
Supplier mandate	None
Acceptance obligation	Only initially invoices over EUR 1000
Commentary	If the client is an authority of the state, billers are obliged from January 1st, 2022 to submit their invoices electronically via the Baden-Württemberg Central Invoicing Office (ZRE). There are exceptions for invoices with confidential data as well as for cash and immediate payments. In addition, the obligation does not initially apply to invoices up to an amount of EUR 1,000. Further information (here)
Peppol Connectivity	Yes
Peppol AP	BIT-BW
Legislation	EGovG BW

Bavaria (Bayern)

Scope	Explanation
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Identification	Leitweg ID
Format(s)	Xrechnung by law
Infrastructure	There will be no central e-invoice receiving portal developed in Bayern
Mandatory use	Upload to Validate and visualize e-invoices can be done here
Supplier mandate	Nobody has to send an invoice to contracting authorities in Bayern in an electronic form
Acceptance obligation	Not specified
Commentary	Bavaria now accepts electronic invoices at state level, but do not impose any obligation on contractors. There is also no central platform for receiving electronic invoices.
Peppol Connectivity	No
Peppol AP	In progress
Legislation	BayEGovG Other legal

Hesse(n)

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Expected XRechnung, PEPPOL BIS
Infrastructure	
Mandatory use	No evidence at this stage
Supplier mandate	As of April 18, 2024, suppliers to the public sector in Hesse must issue electronic invoices.
Acceptance obligation	Only e-invoices over the EUR 1000 threshold are required to be accepted by administrations
Commentary	As of April 18, 2020, public clients in Hesse must be able to both receive and process electronic invoices. According to its statement, the State of Hesse will issue a concrete legal regulation. Some public entities have connected themselves to the OZG-RE to receive invoices.
Peppol Connectivity	No
Peppol AP	In progress
Legislation	HEGovG http://starweb.hessen.de/cache/DRS/19/3/06403.pdf https://service.hessen.de/html/10819.htm

Thuringia

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung, Peppol, or other EN-compatible format
Infrastructure Mandatory use	OZG-RE (Upload, Peppol, Email, Manual)
Supplier mandate	None
Acceptance obligation	Contractors of public contracts in Thuringia can submit invoices electronically regardless of the order value
Commentary	The EU directive was implemented in state law with the Thuringian Act for the Promotion of Electronic Management (Thuringian E-Government Act) of May 10, 2018. As a contractor for the Thuringian administrations, you can submit your invoices electronically using the Central invoice receipt portal (OZG-RE).
Peppol Connectivity	Yes
Peppol AP	TRAFFIQX PEPPOL Access Point - B4Value.net

Saxony

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung, Peppol, or other EN-compatible format
Infrastructure Mandatory use	OZG-RE (Upload, Peppol, Email, Manual)
Supplier mandate	None formally The state government responsible for finance is authorized to issue regulations on the organization of electronic invoicing by means of an ordinance. These regulations can refer to the manner in which the electronic invoice is received and processed
Acceptance obligation	All invoice values can be accepted
Commentary	As of April 18, 2020, public authorities in the Free State of Saxony will accept electronic invoices. This is supported OZG-RE portal for all state and local authorities in Saxony. The invoices received in this central portal for the Saxon authorities are picked up there by a special component of the Free State of Saxony and passed on to the relevant authority for processing
Peppol Connectivity	Yes
Peppol AP	TRAFFIQX PEPPOL Access Point - B4Value.net
Legislation	https://www.revosax.sachsen.de/vorschrift/14070-Saechsisches-E-Government-Gesetz#p3a

Saxony-Anhalt

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung
Infrastructure Mandatory use	<u>E-Rechnungsportal</u> (own portal)
Supplier mandate	The state government is authorized to issue regulations for the technical and organizational design of electronic invoicing
Acceptance obligation	All invoice values
Commentary	Saxony-Anhalt passed the Saxony-Anhalt E-Government Act on June 19, 2019 (EGovG LSA) which transposed EU Directive 2014/55 and E-bill law of Saxony-Anhalt in conjunction with § 98 of the Competition Act
Peppol Connectivity	Yes
Peppol AP	Dataport
Legislation	EGovG LSA

Brandenburg

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung (current version, or other EN-compatible format)
Infrastructure Mandatory use	OZG-RE (Upload, Peppol, Email, Manual)
Supplier mandate	None formally
Acceptance obligation	All invoice values must be accepted if submitted electronically
Commentary	The member of the state government responsible for finance is authorized to issue special regulations for the organizations issuing electronic invoices (BbgEGovG) Meaning that public entities are free to require invoices to be submitted electronically.
Peppol Connectivity	Yes
Peppol AP	TRAFFIQX PEPPOL Access Point - B4Value.net

Berlin

Scope	Explanation
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Identification	Based on Leitweg-ID (BT 10)
Format(s)	Xrechnung, or other EN-compatible format
Infrastructure	OZG-RE (Upload, Peppol, Email, Manual)
Mandatory use	
Supplier mandate	None formally
Acceptance obligation	As of April 16, 2020, the Berlin administration (as a contracting authority) must be able to accept e-invoices as a result of a Europe-wide award. The threshold for this is € 214,000 net (upper threshold). Until December 31, 2022, there is no acceptance obligation in the sub-threshold area in Berlin.
Commentary	The Senate Department responsible for finance is authorized to issue regulations on the organization of electronic invoicing by means of an ordinance. These regulations can refer to the manner in which the electronic invoice is received and processed. Details are regulated in the e-bill regulation of the state of Berlin
Peppol Connectivity	Yes
Peppol AP	TRAFFIQX PEPPOL Access Point - B4Value.net

Mecklenburg-Vorpommern

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)
Format(s)	XRechnung
Infrastructure	OZG-RE
Mandatory use	Not mandatory
Supplier mandate	None
Acceptance obligation	Implemented
Commentary	The e-government law of the state of Mecklenburg-Western Pomerania has not yet been officially supplemented by regulations on electronic invoicing. However, there is a draft to amend the EGovG MV. The state reserves the right to specify the requirements in the ordinance.
Peppol Connectivity	Yes
Peppol AP	TRAFFIQX PEPPOL Access Point - B4Value.net
Legislation	E-Government-Gesetz Mecklenburg-Vorpommern - EGovG M-V

Bremen

Scope	Explanation
Identification	Based on Leitweg-ID (BT 10)

Format(s)	Xrechnung
Infrastructure	ZERIKA (peppol is preferred)
Mandatory use	Mandatory
Supplier mandate	Yes
Acceptance obligation	Implemented
Commentary	Bremen was the first federal state to introduce the e-invoice platform back in 2018
Peppol Connectivity	Yes
Peppol AP	Dataport
Legislation	E-bill in Bremen state Ordinance on electronic invoicing (E-Bill Regulation)